

In Microsoft Dynamics 365 Finance and operations, the write-off process allows you to clear uncollectible customer balances while maintaining proper accounting practices.

In this blog, I'll Walk you through the steps to set up write-off parameters and process write-offs for customer balances, transactions, and invoices.

Set Up Write-Off Process

Before processing write-offs, you need to configure the necessary parameters in the system.

Create Write-Off Journal

Navigate to General Ledger > Journal Setup > Journal Names Create a journal with type "Daily" and name it "Customer Write-Off" with code WriteOff.

Give number sequence as per the requirement.

Standard view ▾

Journal names

Name	Description
WriteOff	Write-off Journal

General

Journal type: Daily

New voucher: In connection with balance

Detail level: Details

Number allocation at posting: ☒ No

Fees posting: Keep fees in journal

Document: _____

APPROVAL

Active: ☒ No

Approve: _____

APPROVAL WORKFLOW

Approval workflow: ☒ No

Workflow: _____

BLOCKING

Private for user group: _____

VOUCHER NUMBER

Voucher series: WriteOff01

OFFSET ACCOUNT PROPOSAL

Fixed offset account: ☒ No

Account type: Ledger

Offset account: _____

POSTING

Posting layer: Current

CURRENCY

Fixed rate: ☒ No

Currency: _____

TAX

Amounts include tax: ☒ No

Hide tax fields in journal entry fo...: ☒ No

BANK

Summarise amounts in bank acc...: ☒ No

Summarisation criteria: Do not summarise

Use posting restriction and restrict this journal to particular group of users as well as use journal control to restrict posting to current legal entity.

The Write-off journal is the general journal that will hold the write-off transactions that you create.

You can attach a reason code to every write-off. You can override this default at the time of the write-off.

Write Off Reason Codes

Navigate to Credit and Collection > Setup > Customer write-off reason codes.

Finance and Operations					
Credit and collections > Setup > Customer write-off reason codes					
< Edit + New Delete Options					
Customer write-off reason codes					
Standard view					
Filter					
☐ Company	Reason code	Description	Write-off account	Default	
☐ demf	OTHER	Other	618900		
demf	QUALITY	Quality	618170	✓	
inmf	Goodwill	Impaired Goodwill	618170	✓	
usmf	GOODWILL	Goodwill	618700		
usmf	WRITEOFF	Write-off customer balance	618170	✓	
USRT	WRITEOFF	Write-off customer balance	618170	✓	

We can specify write-off reason codes legal entity wise, we also need to specify main-account associated with each reason code.

We can also default one write-off reason code per legal entity. (this can also be done in credit and collection parameters)

Configure the Write-Off Section in Credit and Collection Parameters

We need to setup a write-off journal in the parameters.

Assign a default reason code for write-offs (this can be overridden during the write-off process).

Separate Tax - Set the Separate sales tax to Yes if you want to separate the sales tax from the original transaction in the write-off.

Finance and Operations | Credit and collections > Setup > Credit and collections parameters | USMF

Standard view

Credit and collections parameters

Collections

Credit

Number sequences

Shared number sequences

Set up options for collections and collection letters

Collection letter

Update collection letter code: Posting

Exclude disputed transactions from...: ☒ Yes

Ignore payments and credit mem...: ☐ No

Create collection letter per: Transaction

Interest and fees

Manage customer waive limits for interest and fees

Interest calculation: Open

Adjustment invoice date value: Interest note date

Minimum number of days to allo...: 0

Maximum number of days to allo...: 0

Write-off

Write-off journal: WriteOff

Default write-off reason: WRITEOFF 618170

Separate tax: ☐ No

Collections defaults

Email template

Write Off a Customer Balance from the Aged Balances Page

If you want to write off an entire customer balance, follow these steps:

1. Access Aged Balances Go to Credit and collections > Collections > Aged balances.

Click on the customer whose balance you need to write-off. A write-off window gets created we can provide date (I will provide 1st Feb 2025, this will become voucher date) and the reason code to write off (the default write-off reason gets populated which we can change)

Finance and Operations > Credit and collections > Collections > Aged balances

Standard view

Write-off

Write off customer transactions

Write-off date: 23-02-2025

Reason code: Goodwill

Description: Impaired Goodwill

Write-off account: 618170

OK Cancel

Filter	Pool	Ageing period definition	Currency for ageing	Amount due balance	10 + Days	Current to 10 days	Current	30	60
		Collection Ageing <td>Accounting currency</td> <td>0.000</td> <td>0.000</td> <td>0.000</td> <td>0.000</td> <td>0.000</td> <td>0.000</td>	Accounting currency	0.000	0.000	0.000	0.000	0.000	0.000
				1,000.000	1,000.000	0.000	0.000	0.000	0.000
				0.000	0.000	0.000	0.000	0.000	0.000
				370.000	30.000	10.000	30.000	300.000	0.000
				0.000	0.000	0.000	0.000	0.000	0.000
				20.000	0.000	0.000	0.000	0.000	20.000
				0.000	0.000	0.000	0.000	0.000	0.000
				4,14,130.200	0.000	0.000	0.000	0.000	4,14
				1,15,416.000	0.000	0.000	0.000	0.000	1,15

1. Select the Customer Mark the row for the customer you want to write off (e.g., Birch Company).
2. Initiate the Write-Off On the Action Pane, click Collect. Click Write off. Confirm by clicking OK.
3. Review the General Journal

Go to General ledger > Journal entries > General journals.

Select the journal batch number containing your write-off.

Finance and Operations > General ledger > Journal entries > General journals

General journals

My view

Show: Not posted

List General Setup Blocking Financial dimensions History

Journal batch number	Name	Description	Posted	Posted on	Log
1		Write off transactions for INMF-	☐		☐

Verify that one line reverses the customer balance and one or more lines post the write-off to the write-off account.

Go to inquiries and mark transaction and you will be able to check all the invoices / open transactions of the customer.

Finance and Operations | General ledger > Journal entries > General journals

Journal voucher | [Redacted]

Standard view

Display journal lines

All

List General Invoice Payment Payment fee Fixed assets Remittance History

+ New Delete Voucher Financial dimensions Tax document Functions Tax information

Date	Voucher	Company	Account type	Account	Financial tags	Description	Debit	Credit	Offset com...	O
01-02-2025	INMF-003...	inmf	Customer	INMF-...		Write off transactions for INMF...		370.000	inmf	Ledg
01-02-2025	INMF-003...	inmf	Ledger	618170		Write off transactions for INMF...	370.000		inmf	Ledg

Account name: Goods Credit Rating | Offset account name: | Calculated tax amount: 0.000 | Actual tax amount: 0.000 | Invoice type: No

CURRENCY: DEBIT 370.000 CREDIT 370.000 BALANCE 0.000 | REPORTING CURRENCY: DEBIT 370.000 CREDIT 370.000 BALANCE 0.000

VOUCHER: DEBIT 370.000 CREDIT 370.000 BALANCE 0.000 | JOURNAL: DEBIT 370.000 CREDIT 370.000 BALANCE 0.000

Budget check results: Budget check not performed

Marked invoices for settlement

Finance and Operations | General ledger > Journal entries > General journals

Options

Standard view *

Marked for settlement

Overview General

Voucher	Account number	Company accounts	Date	Invoice	Amount in...
[Redacted]	INMF-003...	inmf	02-2025	INMF-000...	10.000
[Redacted]	INMF-003...	inmf	01-2025	INMF-000...	30.000
[Redacted]	INMF-003...	inmf	02-2025	INMF-000...	100.000
[Redacted]	INMF-003...	inmf	02-2025	INMF-000...	200.000
[Redacted]	INMF-003...	inmf	02-2025	INMF-000...	20.000
[Redacted]	INMF-003...	inmf	02-2025	INMF-000...	10.000

Write Off Specific Transactions from the Collections Page

If you need to write off specific transactions, here's how:

1. Access Aged Balances Go to Credit and collections > Collections > Aged balances.
2. Select the Customer whose transactions you want to write off
3. Mark the Transactions you want to write off.
4. Process the Write-Off

Click Write off.

Finance and Operations | Credit and collections > Collections > Aged balances

Standard view | Write-off

Write off customer transactions

Write-off date: 23-02-2025

Reason code: Goodwill

Description: Impaired Goodwill

Write-off account: 618170

Open transactions

Change status	Show	NSF payment	Write off	Settle	Reprint	View collections history	Show linked	
Voucher	Date	Invoice	Bill ID	Amount in transact...	Balance	Currency	Collections status	Customer acco
INMF-300	01-2025	INMF-000...		30,000	30,000	INR	Not disputed	INMF-000008
INMF-300	02-2025	INMF-000...		100,000	100,000	INR	Not disputed	INMF-000008
INMF-300	02-2025	INMF-000...		200,000	200,000	INR	Not disputed	INMF-000008
INMF-500	02-2025	INMF-000...		10,000	10,000	INR	Not disputed	INMF-000008
INMF-500	02-2025	INMF-000...		20,000	20,000	INR	Not disputed	INMF-000008
INMF-500	02-2025	INMF-000...		10,000	10,000	INR	Not disputed	INMF-000008
Total	6 rows			Sum	370,000			

Open activities

Close activity Show Origin Show linked

OK Cancel

In the Reason comment field, enter a reason.

Click OK.

Review the General Journal and post as we did previously.

Write Off an Invoice from the Open Customers Invoices Page

To write off a specific invoice:

1. Go to Navigation pane > Modules > Accounts receivable > Invoices > Open customer invoices.
2. Select the Invoice - Mark the line for the invoice you want to write off.

Finance and Operations | Accounts receivable > Invoices > Open customer invoices

Standard view * v

Write off

Write off customer transactions

Write-off date: 23-02-2025

Reason code: Goodwill

Description: Impaired Goodwill

Write-off account: 618170

OK Cancel

Invoice	Customer acco...	Name	Date	Due date	Invoice am...	Currency	TDS	TCS	Interest
INMF-001	INMF-0001		01-2025	03-2025	30,000	INR	0.000	0.000	0.000
INMF-002	INMF-0001		02-2025	02-2025	100,000	INR	0.000	0.000	0.000
INMF-003	INMF-0001		02-2025	02-2025	200,000	INR	0.000	0.000	0.000
INMF-004	INMF-0001		02-2025	03-2025	10,000	INR	0.000	0.000	0.000
INMF-005	INMF-0001		02-2025	02-2025	20,000	INR	0.000	0.000	0.000
INMF-006	INMF-0001		02-2025	02-2025	10,000	INR	0.000	0.000	0.000

Total
6 rows

Initiate the Write-Off: On the Action Pane, click Invoice > Click Write off.

Write off a customer balance from the customer page

Go to Accounts receivable > Customers > All customers.

Select a customer account.

On the Action Pane, click Collect > Click Write off.

Finance and Operations Accounts receivable > Customers > All customers

Standard view 

Write-off

Write off customer transactions

Write-off date

Reason code

Description

Write-off account

OK Cancel

My view 

Filter

Account	Name	Invoice account	Customer group	Currency	Telephone	Extension	Is merged	Account status
INMF-000			10	INR				

Rest of the process is same.